



National  
Qualifications

**X800/76/01**

**Accounting**

## **Marking Instructions**

Please note that these marking instructions have not been standardised based on candidate responses. You may therefore need to agree within your centre how to consistently mark an item if a candidate response is not covered by the marking instructions.



## General marking principles for Higher Accounting

*Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.*

- (a) Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.
- (b) If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.
- (c) Always follow through consequentiality subsequent to a calculative error and give credit for any errors in subsequent calculations or working.
- (d) Mark scored out or erased working which has not been replaced, where still legible. However, if the scored out or erased working has been replaced, mark only the work which has not been scored out.
- (e) For **outline** questions, candidates must make a number of brief statements appropriate to the question asked. These may include facts, features or characteristics.

Up to the total mark allocation for this question

- award **1 mark** for each accurate statement

- (f) For **distinguish** questions, candidates must demonstrate knowledge of the differences between things, features, methods or choices. This does not need to be a comparative sentence.

Up to the total mark allocation for this question

- award **1 mark** for each accurate statement

- (g) For **explain** questions, candidates must make a number of points which relate cause and effect and/or make relationships between things clear, for example by showing connections between a process/situation. These may include theoretical concepts. There is no need to prioritise the reasons.

Up to the total mark allocation for this question

- award **1 mark** for each accurate explanation
- award **1 mark** for further development of an explanation, including exemplification where appropriate

- (h) For **describe** questions, candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- award **1 mark** for each relevant factual point
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate.

# Marking instructions for each question

## Section 1

| Question                                 |                  |                  | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |      |     |  | Max mark | Additional guidance |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
|------------------------------------------|------------------|------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------|-----|--|----------|---------------------|------------------|---------------|-------|----------|---------|----------|----------|--|----------|---------|---------|-----------|--|-----------|--------|---------|---------|--|-------------------|--------|--------|----------|------|------------------------------------------|--|--|---------|-----|----------------------|--|--|---------|---|------------------------------|--|--|---------|-----|---|-------------------------------------------------------------------------|
| 1.                                       | (a)              |                  | <p><b>Profit or Loss on Revaluation</b></p> <table><thead><tr><th></th><th><u>Old Value</u></th><th><u>New Value</u></th><th><u>Change</u></th><th></th></tr></thead><tbody><tr><td>Property</td><td>£80,000</td><td>£130,000</td><td>£50,000*</td><td></td></tr><tr><td>Vehicles</td><td>£40,000</td><td>£30,000</td><td>–£10,000*</td><td></td></tr><tr><td>Inventory</td><td>£8,000</td><td>£12,000</td><td>£4,000*</td><td></td></tr><tr><td>Trade Receivables</td><td>£9,000</td><td>£6,000</td><td>–£3,000*</td><td>*(2)</td></tr><tr><td>Increase in provision for Doubtful Debts</td><td></td><td></td><td>–£1,000</td><td>(1)</td></tr><tr><td>Revaluation Expenses</td><td></td><td></td><td>–£4,000</td><td rowspan="2">}</td></tr><tr><td><u>Profit on Revaluation</u></td><td></td><td></td><td>£36,000</td><td>(1)</td></tr></tbody></table> |      |     |  |          | <u>Old Value</u>    | <u>New Value</u> | <u>Change</u> |       | Property | £80,000 | £130,000 | £50,000* |  | Vehicles | £40,000 | £30,000 | –£10,000* |  | Inventory | £8,000 | £12,000 | £4,000* |  | Trade Receivables | £9,000 | £6,000 | –£3,000* | *(2) | Increase in provision for Doubtful Debts |  |  | –£1,000 | (1) | Revaluation Expenses |  |  | –£4,000 | } | <u>Profit on Revaluation</u> |  |  | £36,000 | (1) | 4 | *All correct 2 marks<br>3 correct 1 mark<br>2 or fewer correct 0 marks. |
|                                          | <u>Old Value</u> | <u>New Value</u> | <u>Change</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |      |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Property                                 | £80,000          | £130,000         | £50,000*                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |      |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Vehicles                                 | £40,000          | £30,000          | –£10,000*                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |      |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Inventory                                | £8,000           | £12,000          | £4,000*                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |      |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Trade Receivables                        | £9,000           | £6,000           | –£3,000*                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | *(2) |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Increase in provision for Doubtful Debts |                  |                  | –£1,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | (1)  |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Revaluation Expenses                     |                  |                  | –£4,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | }    |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| <u>Profit on Revaluation</u>             |                  |                  | £36,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |      | (1) |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
|                                          | (b)              |                  | <p><u>Share of profit on revaluation</u></p> <table><tbody><tr><td>Donnelly</td><td>3/8</td><td>£13,500</td><td>(1)</td></tr><tr><td>Scott</td><td>5/8</td><td>£22,500</td><td>(1)</td></tr></tbody></table>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |      |     |  | Donnelly | 3/8                 | £13,500          | (1)           | Scott | 5/8      | £22,500 | (1)      | 2        |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Donnelly                                 | 3/8              | £13,500          | (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |      |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |
| Scott                                    | 5/8              | £22,500          | (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |      |     |  |          |                     |                  |               |       |          |         |          |          |  |          |         |         |           |  |           |        |         |         |  |                   |        |        |          |      |                                          |  |  |         |     |                      |  |  |         |   |                              |  |  |         |     |   |                                                                         |

| Question              |                 |              | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Max mark | Additional guidance |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
|-----------------------|-----------------|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|--------------|---------------|-------|-----------|---------|----------|----------|-----|----------------------|----------------|---------|--|-----|-----------------------|---------|---------|--|-----|-------------------|--------|---------|--|-----|--|---------|----------|---------|--|----------------------|--------|---------|--------|-----|---------------------|---------|----------|----------|--|---|--|
|                       | (c)             |              | <p><u>New profit sharing ratios</u></p> <table><tr><td>Donnelly</td><td>3/8 x 4/5</td><td>30%</td><td rowspan="3">] (2)</td></tr><tr><td>Scott</td><td>5/8 x 4/5</td><td>50%</td></tr><tr><td>Cahill</td><td>1/5</td><td>20%</td></tr></table>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Donnelly | 3/8 x 4/5           | 30%          | ] (2)         | Scott | 5/8 x 4/5 | 50%     | Cahill   | 1/5      | 20% | 2                    | All or nothing |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Donnelly              | 3/8 x 4/5       | 30%          | ] (2)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |          |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Scott                 | 5/8 x 4/5       | 50%          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |          |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Cahill                | 1/5             | 20%          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |          |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
|                       | (d)             |              | <p><u>New Equity Accounts</u></p> <table><tr><td></td><td><u>Donnelly</u></td><td><u>Scott</u></td><td><u>Cahill</u></td><td></td></tr><tr><td>Equity</td><td>£75,000</td><td>£125,000</td><td>£80,000*</td><td></td></tr><tr><td>Transfer Current A/c</td><td>£3,100</td><td>-£2,400</td><td></td><td>(1)</td></tr><tr><td>Profit on Revaluation</td><td>£13,500</td><td>£22,500</td><td></td><td>(1)</td></tr><tr><td>Share of Goodwill</td><td>£7,500</td><td>£12,500</td><td></td><td>(1)</td></tr><tr><td></td><td>£99,100</td><td>£157,600</td><td>£80,000</td><td></td></tr><tr><td>Goodwill written off</td><td>£6,000</td><td>£10,000</td><td>£4,000</td><td>(1)</td></tr><tr><td>New Equity Balances</td><td>£93,100</td><td>£147,600</td><td>£76,000*</td><td></td></tr></table> <p>*Opening and closing balances, arithmetic and extraneous (1)</p> |          | <u>Donnelly</u>     | <u>Scott</u> | <u>Cahill</u> |       | Equity    | £75,000 | £125,000 | £80,000* |     | Transfer Current A/c | £3,100         | -£2,400 |  | (1) | Profit on Revaluation | £13,500 | £22,500 |  | (1) | Share of Goodwill | £7,500 | £12,500 |  | (1) |  | £99,100 | £157,600 | £80,000 |  | Goodwill written off | £6,000 | £10,000 | £4,000 | (1) | New Equity Balances | £93,100 | £147,600 | £76,000* |  | 5 |  |
|                       | <u>Donnelly</u> | <u>Scott</u> | <u>Cahill</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |          |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Equity                | £75,000         | £125,000     | £80,000*                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Transfer Current A/c  | £3,100          | -£2,400      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | (1)      |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Profit on Revaluation | £13,500         | £22,500      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | (1)      |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Share of Goodwill     | £7,500          | £12,500      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | (1)      |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
|                       | £99,100         | £157,600     | £80,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| Goodwill written off  | £6,000          | £10,000      | £4,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | (1)      |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |
| New Equity Balances   | £93,100         | £147,600     | £76,000*                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |                     |              |               |       |           |         |          |          |     |                      |                |         |  |     |                       |         |         |  |     |                   |        |         |  |     |  |         |          |         |  |                      |        |         |        |     |                     |         |          |          |  |   |  |

| Question |  | Expected response(s)                                                    |                |         |   | Max mark | Additional guidance |         |     |  |
|----------|--|-------------------------------------------------------------------------|----------------|---------|---|----------|---------------------|---------|-----|--|
| (e)      |  | <u>Donnelly, Scott and Cahill</u>                                       |                |         |   | 5        |                     |         |     |  |
|          |  | <b>Income Statement for Year ended 31 December Year 2 ✓</b>             |                |         |   |          |                     |         |     |  |
|          |  |                                                                         |                | £       | £ |          |                     |         |     |  |
|          |  | Profit for the Year ✓                                                   |                |         |   |          |                     | 80,000* |     |  |
|          |  | <u>Add Interest on Drawings ✓</u>                                       |                |         |   |          |                     |         |     |  |
|          |  | Donnelly                                                                | £5,000 x 5%    | £250    | ] |          |                     |         |     |  |
|          |  | Scott                                                                   | £8,000 x 5%    | £400    |   |          |                     |         |     |  |
|          |  | Cahill                                                                  | £6,000 x 5%    | £300    |   |          |                     | £950    | (1) |  |
|          |  |                                                                         |                |         |   |          |                     | £80,950 |     |  |
|          |  | <u>Less Interest on Equity ✓</u>                                        |                |         |   |          |                     |         |     |  |
|          |  | Donnelly                                                                | £93,100 x 10%  | £9,310  | ] |          |                     |         |     |  |
|          |  | Scott                                                                   | £147,600 x 10% | £14,760 |   |          |                     |         |     |  |
|          |  | Cahill                                                                  | £76,000 x 10%  | £7,600  |   |          |                     | £31,670 | (1) |  |
|          |  |                                                                         |                |         |   |          |                     | £49,280 |     |  |
|          |  | <u>Less Salary ✓</u>                                                    |                |         |   |          |                     |         |     |  |
|          |  | Donnelly                                                                |                |         |   |          |                     | £2,000  | (1) |  |
|          |  |                                                                         |                |         |   |          |                     | £47,280 |     |  |
|          |  | <u>Share of Profit ✓</u>                                                |                |         |   |          |                     |         |     |  |
|          |  | Donnelly                                                                | £47,280 x 30%  | £14,184 | ] |          |                     |         |     |  |
|          |  | Scott                                                                   | £47,280 x 50%  | £23,640 |   |          |                     |         |     |  |
|          |  | Cahill                                                                  | £47,280 x 20%  | £9456   |   |          |                     | £47,280 | (1) |  |
|          |  | *Profit for the Year, heading, labels, arithmetic and no extraneous (1) |                |         |   |          |                     |         |     |  |



| Question |     | Expected response(s)                                       |              |               |          | Max mark | Additional guidance                                                   |
|----------|-----|------------------------------------------------------------|--------------|---------------|----------|----------|-----------------------------------------------------------------------|
|          | (g) | Statement of Financial Position as at 31 December Year 2 ✓ |              |               |          | 13       |                                                                       |
|          |     |                                                            | £<br>At Cost | £<br>Agg Depn | £<br>NBV |          |                                                                       |
|          |     | NON-CURRENT ASSETS ✓                                       |              |               |          |          |                                                                       |
|          |     | Property                                                   | 330,000      | (20,000)      | 350,000  | (1)      | All 3 figures must be shown to gain award for each non-current asset. |
|          |     | Vehicles                                                   | 30,000       | 5,000         | 25,000   | (1)      |                                                                       |
|          |     | Equipment                                                  | 20,000       | 2,000         | 18,000   | (1)      |                                                                       |
|          |     |                                                            |              |               | 393,000  |          |                                                                       |
|          |     | Investments                                                |              |               | 90,000   | (1)      |                                                                       |
|          |     |                                                            |              |               | 483,000  |          |                                                                       |
|          |     | CURRENT ASSETS ✓                                           |              |               |          |          |                                                                       |
|          |     | Closing Inventory                                          |              | 35,700        |          | *        |                                                                       |
|          |     | Trade Receivables (7500 - 750)                             |              | 6,750         |          | (1)      |                                                                       |
|          |     | Electricity Receivable                                     |              | 3,500         |          | *(1)     |                                                                       |
|          |     |                                                            |              | 45,950        |          |          |                                                                       |
|          |     | LESS CURRENT LIABILITIES ✓                                 |              |               |          |          |                                                                       |
|          |     | Trade Payables                                             | 16,000       | 30,550        |          |          | All correct 2 marks<br>2 correct 1 mark<br>1 correct 0 marks          |
|          |     | Cash & Cash Equivalents                                    | 12,500       |               |          |          |                                                                       |
|          |     | Wages Payable                                              | 2,050        |               |          |          |                                                                       |
|          |     | Working Equity                                             |              | 15,400        | (2)      |          |                                                                       |
|          |     | Net Assets Employed                                        |              | 498,400       |          |          |                                                                       |
|          |     | LESS NON-CURRENT LIABILITIES ✓                             |              |               |          |          |                                                                       |
|          |     | Mortgage                                                   |              |               | 100,000  | (1)      |                                                                       |
|          |     | Net Assets                                                 |              |               | 398,400  |          |                                                                       |
|          |     | EQUITY ✓                                                   |              |               |          |          |                                                                       |
|          |     | Equity Accounts                                            |              |               |          |          |                                                                       |
|          |     | Donnelly                                                   |              | 93,100        |          |          |                                                                       |
|          |     | Scott                                                      |              | 147,600       |          | (1)      |                                                                       |
|          |     | Cahill                                                     |              | 76,000        | 316,700  |          |                                                                       |

| Question |     |  | Expected response(s)                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                         |                                       | Max mark | Additional guidance                                      |
|----------|-----|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------|----------|----------------------------------------------------------|
|          |     |  | <div><div>£</div><div>At Cost</div></div> <div>Current Accounts</div> <div>Donnelly</div> <div>Scott</div> <div>Cahill</div> <div>Revaluation reserve</div> <div>Headings, arithmetic and no extraneous (1)</div>                                                                                          | <div><div>£</div><div>Agg Depn</div></div> <div>23,344 *</div> <div>27,600 *</div> <div>10,756 *(1)</div> <div>61,700</div> <div>378,400</div> <div>20,000 (1)</div> <div>398,400</div> | <div><div>£</div><div>NBV</div></div> |          | * 1 mark for current account balances of all 3 partners. |
|          | (h) |  | <div><div>• Increased equity is introduced to the business (1)</div><div>• More expertise or specialist knowledge (1)</div><div>• Workload can be shared (1)</div><div>• May allow expansion of the business (1)</div><div>• Eliminates competition when skills and resources are combined (1)</div></div> |                                                                                                                                                                                         |                                       | 2        |                                                          |

| Question               |       |        | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |       |       |      |  |  | Max mark | Additional guidance |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|------------------------|-------|--------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|-------|------|--|--|----------|---------------------|--------|------|-----|-----|--|-------|-------|-------|-------|-------|-------|--|------------------------|-----|-----|-----|-------|-------|-----|--|-------|-------|-------|-------|-------|--|-----------------------|-----|-----|-------|-------|-------|-----|------------|-------|-------|-------|-------|-------|------|---|-------------------------------------------------------------------|
| 2. PART A              |       |        | <p><b>Production Budget ✓</b></p> <table><tr><td></td><td>July</td><td>August</td><td>Sept</td><td>Oct</td><td>Nov</td><td></td></tr><tr><td>Sales</td><td>2,500</td><td>2,800</td><td>3,400</td><td>6,200</td><td>5,000</td><td></td></tr><tr><td>Less Opening Inventory</td><td>500</td><td>560</td><td>680</td><td>1,240</td><td>1,000</td><td>(1)</td></tr><tr><td></td><td>2,000</td><td>2,240</td><td>2,720</td><td>4,960</td><td>4,000</td><td></td></tr><tr><td>Add Closing Inventory</td><td>560</td><td>680</td><td>1,240</td><td>1,000</td><td>1,020</td><td>(1)</td></tr><tr><td>Production</td><td>2,560</td><td>2,920</td><td>3,960</td><td>5,960</td><td>5,020</td><td>(1)*</td></tr></table> |       |       |      |  |  |          | July                | August | Sept | Oct | Nov |  | Sales | 2,500 | 2,800 | 3,400 | 6,200 | 5,000 |  | Less Opening Inventory | 500 | 560 | 680 | 1,240 | 1,000 | (1) |  | 2,000 | 2,240 | 2,720 | 4,960 | 4,000 |  | Add Closing Inventory | 560 | 680 | 1,240 | 1,000 | 1,020 | (1) | Production | 2,560 | 2,920 | 3,960 | 5,960 | 5,020 | (1)* | 3 | * 1 mark for production total, heading and correct sales figures. |
|                        | July  | August |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  | Sept     | Oct                 | Nov    |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
| Sales                  | 2,500 | 2,800  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  | 3,400    | 6,200               | 5,000  |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
| Less Opening Inventory | 500   | 560    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  | 680      | 1,240               | 1,000  | (1)  |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|                        | 2,000 | 2,240  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  | 2,720    | 4,960               | 4,000  |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
| Add Closing Inventory  | 560   | 680    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  | 1,240    | 1,000               | 1,020  | (1)  |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
| Production             | 2,560 | 2,920  | 3,960                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 5,960 | 5,020 | (1)* |  |  |          |                     |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|                        | (a)   |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  |          |                     |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|                        |       |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  |          |                     |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|                        |       |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  |          |                     |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|                        |       |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  |          |                     |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|                        |       |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |       |       |      |  |  |          |                     |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |
|                        | (b)   |        | <ul style="list-style-type: none"><li>• Sell preference shares where a fixed dividend is received in return for investing in the company (1)</li><li>• Sell ordinary shares in return for a share of the profits in the form of a variable dividend (1) a successful year means high dividend/poor year no or low dividend (1)</li><li>• Debentures - issue of loan/with fixed annual interest (1)</li></ul>                                                                                                                                                                                                                                                                                                 |       |       |      |  |  | 3        |                     |        |      |     |     |  |       |       |       |       |       |       |  |                        |     |     |     |       |       |     |  |       |       |       |       |       |  |                       |     |     |       |       |       |     |            |       |       |       |       |       |      |   |                                                                   |

| Question           |       |      | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |        |       |          |         |      |          |      |  |  | Max mark | Additional guidance |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|--------------------|-------|------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|----------|---------|------|----------|------|--|--|----------|---------------------|--|--|--------|--|--|---------|--|--|--|--|-----|-----|-------|-----|-----|-------|-----|-----|-------|--|-------------|-----|------|--------|--|--|--|-----|--|--------|-----|-----------|-------|------|--------|--|--|--|-------|--|----------|--|--------|--|--|----------|--|--|--|--|--|----------|-----|--------------------|--|--|--------|--|--|--|--|--|----------|--|-----------------|--|--|----------|--|--|--|--|--|----------|-----|-------------|--|--|--|----|------|-------|-------|--|----------|-----|-------------|--|--|--|-----|--|----------|-------|------|----------|-----|-------------|--|--|--|-----|-------|----------|-----|--|--------|--|---------------|--|--|--|-----|-------|--------|--|--|------|------|---|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                    | (c)   | (i)  | <div><div>Baking Process Account ✓</div><table><thead><tr><th></th><th colspan="3">Input</th><th colspan="3">Output</th><th colspan="3">Balance</th><th></th></tr><tr><th></th><th>Qty</th><th>CPU</th><th>Value</th><th>Qty</th><th>CPU</th><th>Value</th><th>Qty</th><th>CPU</th><th>Value</th><th></th></tr></thead><tbody><tr><td>Opening WIP</td><td>500</td><td>1.20</td><td>600.00</td><td></td><td></td><td></td><td>500</td><td></td><td>600.00</td><td>(1)</td></tr><tr><td>Materials</td><td>1,500</td><td>0.50</td><td>500.00</td><td></td><td></td><td></td><td>1,000</td><td></td><td>1,100.00</td><td></td></tr><tr><td>Labour</td><td></td><td></td><td>5,200.00</td><td></td><td></td><td></td><td></td><td></td><td>6,300.00</td><td>(1)</td></tr><tr><td>Variable Overheads</td><td></td><td></td><td>800.00</td><td></td><td></td><td></td><td></td><td></td><td>7,100.00</td><td></td></tr><tr><td>Fixed Overheads</td><td></td><td></td><td>1,040.00</td><td></td><td></td><td></td><td></td><td></td><td>8,140.00</td><td>(1)</td></tr><tr><td>Normal Loss</td><td></td><td></td><td></td><td>75</td><td>0.20</td><td>15.00</td><td>1,425</td><td></td><td>8,125.00</td><td>(1)</td></tr><tr><td>Closing WIP</td><td></td><td></td><td></td><td>425</td><td></td><td>2,125.00</td><td>1,000</td><td>6.00</td><td>6,000.00</td><td>(1)</td></tr><tr><td>Good Output</td><td></td><td></td><td></td><td>900</td><td>6.00*</td><td>5,400.00</td><td>100</td><td></td><td>600.00</td><td></td></tr><tr><td>Abnormal Loss</td><td></td><td></td><td></td><td>100</td><td>6.00*</td><td>600.00</td><td></td><td></td><td>0.00</td><td>(2)*</td></tr></tbody></table></div> |        |       |          |         |      |          |      |  |  |          | Input               |  |  | Output |  |  | Balance |  |  |  |  | Qty | CPU | Value | Qty | CPU | Value | Qty | CPU | Value |  | Opening WIP | 500 | 1.20 | 600.00 |  |  |  | 500 |  | 600.00 | (1) | Materials | 1,500 | 0.50 | 500.00 |  |  |  | 1,000 |  | 1,100.00 |  | Labour |  |  | 5,200.00 |  |  |  |  |  | 6,300.00 | (1) | Variable Overheads |  |  | 800.00 |  |  |  |  |  | 7,100.00 |  | Fixed Overheads |  |  | 1,040.00 |  |  |  |  |  | 8,140.00 | (1) | Normal Loss |  |  |  | 75 | 0.20 | 15.00 | 1,425 |  | 8,125.00 | (1) | Closing WIP |  |  |  | 425 |  | 2,125.00 | 1,000 | 6.00 | 6,000.00 | (1) | Good Output |  |  |  | 900 | 6.00* | 5,400.00 | 100 |  | 600.00 |  | Abnormal Loss |  |  |  | 100 | 6.00* | 600.00 |  |  | 0.00 | (2)* | 7 | <div>If complete reversal or not shown as an account, award <b>3 marks</b>.</div> <div>DNA <b>1 mark</b> max, if nomenclature error.</div> <div>DNA <b>1 mark</b>, if any quantity is entered other than materials.</div> <div>Normal loss must be based on input material quantity.</div> <div>* If CPU is calculated correctly and applied to both Finished Goods and Abnormal Loss but Balance is incorrect, award <b>1 mark</b>.</div> |
|                    | Input |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Output |       |          | Balance |      |          |      |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|                    | Qty   | CPU  | Value                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Qty    | CPU   | Value    | Qty     | CPU  | Value    |      |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Opening WIP        | 500   | 1.20 | 600.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |        |       |          | 500     |      | 600.00   | (1)  |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Materials          | 1,500 | 0.50 | 500.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |        |       |          | 1,000   |      | 1,100.00 |      |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Labour             |       |      | 5,200.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |        |       |          |         |      | 6,300.00 | (1)  |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Variable Overheads |       |      | 800.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |        |       |          |         |      | 7,100.00 |      |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Fixed Overheads    |       |      | 1,040.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |        |       |          |         |      | 8,140.00 | (1)  |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Normal Loss        |       |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 75     | 0.20  | 15.00    | 1,425   |      | 8,125.00 | (1)  |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Closing WIP        |       |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 425    |       | 2,125.00 | 1,000   | 6.00 | 6,000.00 | (1)  |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Good Output        |       |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 900    | 6.00* | 5,400.00 | 100     |      | 600.00   |      |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Abnormal Loss      |       |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 100    | 6.00* | 600.00   |         |      | 0.00     | (2)* |  |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |             |     |      |        |  |  |  |     |  |        |     |           |       |      |        |  |  |  |       |  |          |  |        |  |  |          |  |  |  |  |  |          |     |                    |  |  |        |  |  |  |  |  |          |  |                 |  |  |          |  |  |  |  |  |          |     |             |  |  |  |    |      |       |       |  |          |     |             |  |  |  |     |  |          |       |      |          |     |             |  |  |  |     |       |          |     |  |        |  |               |  |  |  |     |       |        |  |  |      |      |   |                                                                                                                                                                                                                                                                                                                                                                                                                                            |

| Question                |       |      | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |        |      |        |         |      |        |     |  | Max mark | Additional guidance |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |                |     |      |        |  |  |  |     |      |        |     |                         |  |  |  |     |      |       |  |  |        |     |                  |  |  |  |  |  |        |  |  |   |     |   |  |
|-------------------------|-------|------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|------|--------|---------|------|--------|-----|--|----------|---------------------|--|--|--------|--|--|---------|--|--|--|--|-----|-----|-------|-----|-----|-------|-----|-----|-------|--|----------------|-----|------|--------|--|--|--|-----|------|--------|-----|-------------------------|--|--|--|-----|------|-------|--|--|--------|-----|------------------|--|--|--|--|--|--------|--|--|---|-----|---|--|
|                         |       | (ii) | <b>Abnormal Loss Account ✓</b> <table><thead><tr><th></th><th colspan="3">Input</th><th colspan="3">Output</th><th colspan="3">Balance</th><th></th></tr><tr><th></th><th>Qty</th><th>CPU</th><th>Value</th><th>Qty</th><th>CPU</th><th>Value</th><th>Qty</th><th>CPU</th><th>Value</th><th></th></tr></thead><tbody><tr><td>Baking process</td><td>100</td><td>6·00</td><td>600·00</td><td></td><td></td><td></td><td>100</td><td>6·00</td><td>600·00</td><td>(1)</td></tr><tr><td>Cash &amp; Cash Equivalents</td><td></td><td></td><td></td><td>100</td><td>0·20</td><td>20·00</td><td></td><td></td><td>580·00</td><td>(1)</td></tr><tr><td>Income Statement</td><td></td><td></td><td></td><td></td><td></td><td>580·00</td><td></td><td></td><td>0</td><td>(1)</td></tr></tbody></table> <p>Headings, nomenclature and layout (1)</p> |        |      |        |         |      |        |     |  |          | Input               |  |  | Output |  |  | Balance |  |  |  |  | Qty | CPU | Value | Qty | CPU | Value | Qty | CPU | Value |  | Baking process | 100 | 6·00 | 600·00 |  |  |  | 100 | 6·00 | 600·00 | (1) | Cash & Cash Equivalents |  |  |  | 100 | 0·20 | 20·00 |  |  | 580·00 | (1) | Income Statement |  |  |  |  |  | 580·00 |  |  | 0 | (1) | 4 |  |
|                         | Input |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Output |      |        | Balance |      |        |     |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |                |     |      |        |  |  |  |     |      |        |     |                         |  |  |  |     |      |       |  |  |        |     |                  |  |  |  |  |  |        |  |  |   |     |   |  |
|                         | Qty   | CPU  | Value                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Qty    | CPU  | Value  | Qty     | CPU  | Value  |     |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |                |     |      |        |  |  |  |     |      |        |     |                         |  |  |  |     |      |       |  |  |        |     |                  |  |  |  |  |  |        |  |  |   |     |   |  |
| Baking process          | 100   | 6·00 | 600·00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |        |      |        | 100     | 6·00 | 600·00 | (1) |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |                |     |      |        |  |  |  |     |      |        |     |                         |  |  |  |     |      |       |  |  |        |     |                  |  |  |  |  |  |        |  |  |   |     |   |  |
| Cash & Cash Equivalents |       |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 100    | 0·20 | 20·00  |         |      | 580·00 | (1) |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |                |     |      |        |  |  |  |     |      |        |     |                         |  |  |  |     |      |       |  |  |        |     |                  |  |  |  |  |  |        |  |  |   |     |   |  |
| Income Statement        |       |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |        |      | 580·00 |         |      | 0      | (1) |  |          |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |                |     |      |        |  |  |  |     |      |        |     |                         |  |  |  |     |      |       |  |  |        |     |                  |  |  |  |  |  |        |  |  |   |     |   |  |
|                         | (d)   |      | Margin is profit on selling price whereas mark-up is profit on cost price. (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |        |      |        |         |      |        |     |  | 1        |                     |  |  |        |  |  |         |  |  |  |  |     |     |       |     |     |       |     |     |       |  |                |     |      |        |  |  |  |     |      |        |     |                         |  |  |  |     |      |       |  |  |        |     |                  |  |  |  |  |  |        |  |  |   |     |   |  |

| Question                                                        |         |      | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |  |  |  | Max mark | Additional guidance |  |   |           |                                                                 |  |  |         |     |                       |  |  |  |  |                            |         |     |  |  |                             |        |     |  |  |                                                    |         |      |  |  |                                                         |        |      |         |  |                              |  |  |  |  |                                                          |  |  |  |  |                                             |  |  |  |  |                                                       |  |  |         |  |    |                   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|-----------------------------------------------------------------|---------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--|--|--|----------|---------------------|--|---|-----------|-----------------------------------------------------------------|--|--|---------|-----|-----------------------|--|--|--|--|----------------------------|---------|-----|--|--|-----------------------------|--------|-----|--|--|----------------------------------------------------|---------|------|--|--|---------------------------------------------------------|--------|------|---------|--|------------------------------|--|--|--|--|----------------------------------------------------------|--|--|--|--|---------------------------------------------|--|--|--|--|-------------------------------------------------------|--|--|---------|--|----|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------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| 2. PART B                                                       |         |      | <div>OPERATING COST STATEMENT ✓</div> <table><thead><tr><th></th><th>£</th><th></th><th>£</th><th>Max marks</th></tr></thead><tbody><tr><td>Depreciation<br/><math>\frac{(75,000 - 5,000)}{7} = 10,000 \times 10</math></td><td></td><td></td><td>100,000</td><td>(2)</td></tr><tr><td><b>Drivers Wages:</b></td><td></td><td></td><td></td><td></td></tr><tr><td>Basic (40 x £15 x 48 x 10)</td><td>288,000</td><td>(2)</td><td></td><td></td></tr><tr><td>Holiday (40 x £15 x 4 x 10)</td><td>24,000</td><td>(1)</td><td></td><td></td></tr><tr><td>Overtime (double time)<br/>(£15 x 2 x 10 x 48 x 10)</td><td>144,000</td><td>(2)*</td><td></td><td></td></tr><tr><td>Overtime (time and a half)<br/>(£15 x 1.5 x 5 x 48 x 10)</td><td>54,000</td><td>(2)*</td><td>510,000</td><td></td></tr><tr><td><b>Relief Drivers Wages:</b></td><td></td><td></td><td></td><td></td></tr><tr><td>Total Operating Hours<br/>(10 x 7 x 52 x 10) = 36,400 (1)</td><td></td><td></td><td></td><td></td></tr><tr><td>Hours Worked<br/>(55 x 48 x 10) = 26,400 (1)</td><td></td><td></td><td></td><td></td></tr><tr><td>Relief Hours<br/>36,400 – 26,400 = 10,000 (1) x 10 (1)</td><td></td><td></td><td>100,000</td><td></td></tr></tbody></table> |  |  |  |  |          | £                   |  | £ | Max marks | Depreciation<br>$\frac{(75,000 - 5,000)}{7} = 10,000 \times 10$ |  |  | 100,000 | (2) | <b>Drivers Wages:</b> |  |  |  |  | Basic (40 x £15 x 48 x 10) | 288,000 | (2) |  |  | Holiday (40 x £15 x 4 x 10) | 24,000 | (1) |  |  | Overtime (double time)<br>(£15 x 2 x 10 x 48 x 10) | 144,000 | (2)* |  |  | Overtime (time and a half)<br>(£15 x 1.5 x 5 x 48 x 10) | 54,000 | (2)* | 510,000 |  | <b>Relief Drivers Wages:</b> |  |  |  |  | Total Operating Hours<br>(10 x 7 x 52 x 10) = 36,400 (1) |  |  |  |  | Hours Worked<br>(55 x 48 x 10) = 26,400 (1) |  |  |  |  | Relief Hours<br>36,400 – 26,400 = 10,000 (1) x 10 (1) |  |  | 100,000 |  | 19 | Depreciation and Basic Wages - 2 all or 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| Depreciation<br>$\frac{(75,000 - 5,000)}{7} = 10,000 \times 10$ |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     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| Basic (40 x £15 x 48 x 10)                                      | 288,000 | (2)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     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| Holiday (40 x £15 x 4 x 10)                                     | 24,000  | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     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| Overtime (double time)<br>(£15 x 2 x 10 x 48 x 10)              | 144,000 | (2)* |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     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| Overtime (time and a half)<br>(£15 x 1.5 x 5 x 48 x 10)         | 54,000  | (2)* |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     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| <b>Relief Drivers Wages:</b>                                    |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |  |  |  |  |          |                     |  |   |           |                                                                 |  |  |         |     |                       |  |  |  |  |                            |         |     |  |  |                             |        |     |  |  |                                                    |         |      |  |  |                                                         |        |      |         |  |                              |  |  |  |  |                                                          |  |  |  |  |                                             |  |  |  |  |                                                       |  |  |         |  |    |                   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| Total Operating Hours<br>(10 x 7 x 52 x 10) = 36,400 (1)        |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     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| Hours Worked<br>(55 x 48 x 10) = 26,400 (1)                     |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     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| Relief Hours<br>36,400 – 26,400 = 10,000 (1) x 10 (1)           |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |  |  |  |  | 100,000  |                     |  |   |           |                                                                 |  |  |         |     |                       |  |  |  |  |                            |         |     |  |  |                             |        |     |  |  |                                                    |         |      |  |  |                                                         |        |      |         |  |                              |  |  |  |  |                                                          |  |  |  |  |                                             |  |  |  |  |                                                       |  |  |         |  |    |                   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| Question                                                                  |                 |      | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |     |  |  |  |  | Max mark                                                                  | Additional guidance |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
|---------------------------------------------------------------------------|-----------------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|--|--|--|--|---------------------------------------------------------------------------|---------------------|-----|----------------------------------------------------------------|--|---------------------------|----------|-----|--------|--|------------------------------------------------|-----------------|--|--|-----|-----------|----------------------------------------------------------------------------------------------------------------------|---|--|--|-----------|-------|--|--|-------------------------|--------|---------|-----|------------------------------|--|--|----------------|--|--|--|
|                                                                           |                 |      | <table><tr><td>Office and Admin (3,000 x 12)</td><td>36,000</td><td>(1)</td><td></td><td></td></tr><tr><td>Garage Rental (2,250 x 4)</td><td>9,000</td><td>(1)</td><td>45,000</td><td></td></tr><tr><td>Fuel<br/>((10 x 500 x 52) (1) / 13) x £1.35 (1)</td><td>27,000</td><td></td><td></td><td></td></tr><tr><td>Insurance</td><td>52,250</td><td rowspan="3">}</td><td></td><td></td></tr><tr><td>Licensing</td><td>7,950</td><td></td><td></td></tr><tr><td>Maintenance and Repairs</td><td>59,700</td><td>146,900</td><td>(1)</td></tr><tr><td><b>TOTAL RUNNING COSTS ✓</b></td><td></td><td></td><td><b>901,900</b></td><td></td></tr></table> |     |  |  |  |  | Office and Admin (3,000 x 12)                                             | 36,000              | (1) |                                                                |  | Garage Rental (2,250 x 4) | 9,000    | (1) | 45,000 |  | Fuel<br>((10 x 500 x 52) (1) / 13) x £1.35 (1) | 27,000          |  |  |     | Insurance | 52,250                                                                                                               | } |  |  | Licensing | 7,950 |  |  | Maintenance and Repairs | 59,700 | 146,900 | (1) | <b>TOTAL RUNNING COSTS ✓</b> |  |  | <b>901,900</b> |  |  |  |
| Office and Admin (3,000 x 12)                                             | 36,000          | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| Garage Rental (2,250 x 4)                                                 | 9,000           | (1)  | 45,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| Fuel<br>((10 x 500 x 52) (1) / 13) x £1.35 (1)                            | 27,000          |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| Insurance                                                                 | 52,250          | }    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| Licensing                                                                 | 7,950           |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| Maintenance and Repairs                                                   | 59,700          |      | 146,900                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | (1) |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| <b>TOTAL RUNNING COSTS ✓</b>                                              |                 |      | <b>901,900</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
|                                                                           |                 |      | Heading, label and arithmetic (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
|                                                                           | (b)             | (i)  | <table><tr><td>Passenger Miles<br/>(45 x 0.8 x 500 x 52 x 10) = 9,360,000 passenger miles</td><td>(2)</td></tr></table>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |     |  |  |  |  | Passenger Miles<br>(45 x 0.8 x 500 x 52 x 10) = 9,360,000 passenger miles | (2)                 | 2   | Award 1 mark if any single part of the calculation is missing. |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| Passenger Miles<br>(45 x 0.8 x 500 x 52 x 10) = 9,360,000 passenger miles | (2)             |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
|                                                                           |                 | (ii) | <table><tr><td>Sales Income (9,360,000 x £0.20)</td><td>£1,872,000</td><td></td><td></td><td></td></tr><tr><td>less: Costs</td><td>£901,900</td><td></td><td></td><td></td></tr><tr><td><b>Estimated Profit</b></td><td><b>£970,100</b></td><td></td><td></td><td>(1)</td></tr></table>                                                                                                                                                                                                                                                                                                                                                              |     |  |  |  |  | Sales Income (9,360,000 x £0.20)                                          | £1,872,000          |     |                                                                |  | less: Costs               | £901,900 |     |        |  | <b>Estimated Profit</b>                        | <b>£970,100</b> |  |  | (1) | 1         | Award mark for entry of costs data and calculation of profit with arithmetic accuracy. Be aware of consequentiality. |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| Sales Income (9,360,000 x £0.20)                                          | £1,872,000      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| less: Costs                                                               | £901,900        |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |     |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |
| <b>Estimated Profit</b>                                                   | <b>£970,100</b> |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | (1) |  |  |  |  |                                                                           |                     |     |                                                                |  |                           |          |     |        |  |                                                |                 |  |  |     |           |                                                                                                                      |   |  |  |           |       |  |  |                         |        |         |     |                              |  |  |                |  |  |  |

## Section 2

| Question  |  |  | Expected response(s)                        |                  |          |         |         |       |         |       |       |         | Max mark | Additional guidance                                                                                                                           |
|-----------|--|--|---------------------------------------------|------------------|----------|---------|---------|-------|---------|-------|-------|---------|----------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| 3. PART A |  |  | Inventory Record Card for Component KFC01 ✓ |                  |          |         |         |       |         |       |       |         | 6        | <p>* Award 1 mark for correct heading and opening balance.</p> <p>If date/details column not included, do not award first available mark.</p> |
|           |  |  |                                             |                  | Receipts |         |         |       | Issues  |       |       | Balance |          |                                                                                                                                               |
|           |  |  | Date                                        | Details          | Qty      | Price £ | Value £ | Qty   | Price £ | Value | Qty   | Price £ | Value £  |                                                                                                                                               |
|           |  |  | 01/09                                       | Opening balance  |          |         |         |       |         |       | 2,500 | 6·00    | 15,000   |                                                                                                                                               |
|           |  |  | 07/09                                       | Purchases        | 1,500    | 6·40    | 9,600   |       |         |       | 4,000 | 6·15    | 24,600   |                                                                                                                                               |
|           |  |  | 12/09                                       | Issue to Job 307 |          |         |         | 1,000 | 6·15    | 6,150 | 3,000 | 6·15    | 18,450   |                                                                                                                                               |
|           |  |  | 15/09                                       | Purchases        | 2,000    | 6·95    | 13,900  |       |         |       | 5,000 | 6·47    | 32,350   |                                                                                                                                               |
|           |  |  | 17/09                                       | Returns          |          |         |         | 200   | 6·95    | 1,390 | 4,800 | 6·45    | 30,960   |                                                                                                                                               |
|           |  |  | 24/09                                       | Issue to Job 310 |          |         |         | 1,200 | 6·45    | 7,740 | 3,600 | 6·45    | 23,220   |                                                                                                                                               |

| Question               |                     |                     | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Max mark | Additional guidance                                                    |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
|------------------------|---------------------|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|------------------------------------------------------------------------|------------------------|------------------------|-------------------|---------------------|-----------------|-----------|-----------|---------|-----|--------|---|------------------------------------------|
| 3. PART B              |                     |                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
|                        | (a)                 |                     | <table><tr><td></td><td>Andrews plc</td><td>Bhuvan plc</td></tr><tr><td>Fixed Interest Funding</td><td>750,000+2,000,000</td><td>2,500,000+3,000,000</td></tr><tr><td>Ordinary Shares</td><td>2,750,000</td><td>2,000,000</td></tr><tr><td>Gearing</td><td>1:1</td><td>2.75:1</td></tr></table>                                                                                                                                                                                                                                              |          | Andrews plc                                                            | Bhuvan plc             | Fixed Interest Funding | 750,000+2,000,000 | 2,500,000+3,000,000 | Ordinary Shares | 2,750,000 | 2,000,000 | Gearing | 1:1 | 2.75:1 | 2 | 1 mark for Andrews;<br>1 mark for Bhuvan |
|                        | Andrews plc         | Bhuvan plc          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
| Fixed Interest Funding | 750,000+2,000,000   | 2,500,000+3,000,000 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
| Ordinary Shares        | 2,750,000           | 2,000,000           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
| Gearing                | 1:1                 | 2.75:1              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
|                        | (b)                 | (i)                 | <table><tr><td></td><td>Andrews plc</td></tr><tr><td>Fixed Interest Funding</td><td>3,500,000+2,000,000</td></tr><tr><td>Ordinary Shares</td><td>2,750,000</td></tr><tr><td>Gearing</td><td>2:1 (1)</td></tr></table>                                                                                                                                                                                                                                                                                                                        |          | Andrews plc                                                            | Fixed Interest Funding | 3,500,000+2,000,000    | Ordinary Shares   | 2,750,000           | Gearing         | 2:1 (1)   | 1         |         |     |        |   |                                          |
|                        | Andrews plc         |                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
| Fixed Interest Funding | 3,500,000+2,000,000 |                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
| Ordinary Shares        | 2,750,000           |                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
| Gearing                | 2:1 (1)             |                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |          |                                                                        |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |
|                        |                     | (ii)                | <p>The ordinary shareholders will receive a lower rate of return as there will be less profit available for payment to ordinary shareholders (due to the increased number of preference shareholders). (1)</p> <p>Ordinary shareholders stand to possibly lose out in periods of lower profits as there are more shareholders to receive a share of the profits. (1)</p> <p>However, in periods of higher profits the ordinary shareholders would stand to benefit as there would be more profit available for distribution to them. (1)</p> | 1        | Accept either an impact when profits are low or when profits are high. |                        |                        |                   |                     |                 |           |           |         |     |        |   |                                          |

| Question                                                   |            |      | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Max mark                                                   | Additional guidance |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
|------------------------------------------------------------|------------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|---------------------|--|-----------------------|------------|--|--------------------------------------------------|------------|-----|-----------------------------|-----------------|-----|--|------------|--|----------------------------|----------|-----|--------------------------------|------------|--|--------------------------------|----------|--|-------------------------------------------|------------|-----|---|--|
|                                                            | (c)        | (i)  | <table><tr><td colspan="3">Profit available for distribution to ordinary shareholders</td></tr><tr><td></td><td>Bhuvan plc</td><td></td></tr><tr><td>Profit for Year before finance cost and taxation</td><td>£1,750,000</td><td></td></tr><tr><td>Less Debenture Finance Cost</td><td>£150,000</td><td>(1)</td></tr><tr><td></td><td>£1,600,000</td><td></td></tr><tr><td>Less Corporation tax (25%)</td><td>£400,000</td><td>(1)</td></tr><tr><td>Profit for Year after taxation</td><td>£1,200,000</td><td></td></tr><tr><td>Less Preference Dividends (8%)</td><td>£200,000</td><td></td></tr><tr><td>Profit available to Ordinary Shareholders</td><td>£1,000,000</td><td>(1)</td></tr></table> | Profit available for distribution to ordinary shareholders |                     |  |                       | Bhuvan plc |  | Profit for Year before finance cost and taxation | £1,750,000 |     | Less Debenture Finance Cost | £150,000        | (1) |  | £1,600,000 |  | Less Corporation tax (25%) | £400,000 | (1) | Profit for Year after taxation | £1,200,000 |  | Less Preference Dividends (8%) | £200,000 |  | Profit available to Ordinary Shareholders | £1,000,000 | (1) | 3 |  |
| Profit available for distribution to ordinary shareholders |            |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
|                                                            | Bhuvan plc |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Profit for Year before finance cost and taxation           | £1,750,000 |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Less Debenture Finance Cost                                | £150,000   | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
|                                                            | £1,600,000 |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Less Corporation tax (25%)                                 | £400,000   | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Profit for Year after taxation                             | £1,200,000 |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Less Preference Dividends (8%)                             | £200,000   |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Profit available to Ordinary Shareholders                  | £1,000,000 | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
|                                                            |            | (ii) | <table><tr><td>Profit available to Ordinary Shareholders</td><td>£1,000,000</td><td></td></tr><tr><td>Retained Profit (60%)</td><td>£600,000</td><td></td></tr><tr><td>Total dividend paid to ordinary shareholders</td><td>£400,000</td><td>(2)</td></tr></table>                                                                                                                                                                                                                                                                                                                                                                                                                                   | Profit available to Ordinary Shareholders                  | £1,000,000          |  | Retained Profit (60%) | £600,000   |  | Total dividend paid to ordinary shareholders     | £400,000   | (2) | 2                           | All or nothing. |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Profit available to Ordinary Shareholders                  | £1,000,000 |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Retained Profit (60%)                                      | £600,000   |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |
| Total dividend paid to ordinary shareholders               | £400,000   | (2)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                            |                     |  |                       |            |  |                                                  |            |     |                             |                 |     |  |            |  |                            |          |     |                                |            |  |                                |          |  |                                           |            |     |   |  |

| Question |     |       | Expected response(s)                                                                                                                                                                                                              | Max mark | Additional guidance |
|----------|-----|-------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|
|          |     | (iii) | <b>Total percentage dividend to be paid to shareholders</b><br><br>$\frac{\text{Total dividend paid}}{\text{Ordinary Share Equity}} \times 100 = \frac{£400,000}{2,000,000} \times 100$ <p style="text-align: right;">20% (1)</p> | 1        |                     |
|          |     | (iv)  | <b>Ordinary Dividend per share = Total dividend paid/number of ordinary shares</b><br><br>$\frac{£400,000}{4,000,000}$ <p style="text-align: right;">10p (1)</p>                                                                  | 1        |                     |
|          |     | (v)   | $\frac{\text{Profit for the Year after Tax and Preference Dividends}}{\text{Number of Ordinary Shares}} = \frac{£1,000,000}{4,000,000}$ <p style="text-align: right;"><b>Earnings per share</b> £0.25 (1)</p>                     | 1        |                     |
|          | (d) | (i)   | <b>Price Earnings Ratio x Earnings per Share</b> 7.4 times x 25p<br><b>Market Price per share</b> £1.85 (1)                                                                                                                       | 1        |                     |
|          |     | (ii)  | $\frac{\text{Ordinary dividend per share}}{\text{Market Price per share}} \times 100 = \frac{£0.10}{£1.85} \times 100$ <p style="text-align: right;"><b>Dividend Yield</b> 5.41% (1)</p>                                          | 1        |                     |

| Question |     |     | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Max mark | Additional guidance                       |
|----------|-----|-----|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|-------------------------------------------|
| 4.       | (a) | (i) | <p><u>Profits earned for Project 1 = cash inflow - depreciation charge</u></p> <p>Depreciation = (initial investment - residual value)/life of project</p> <p><b>Project 1</b><br/> = (£305,000 - £80,000)/5<br/> = £45,000 per annum <b>(2)</b></p> <p><b>Profit earned</b><br/> Year 1 (£132,000-£45,000) = £87,000<br/> Year 2 (£104,000-£45,000) = £59,000<br/> Year 3 (£82,000-£45,000) = £37,000<br/> Year 4 (£71,750-£45,000) = £26,750<br/> Year 5 (£64,000-£45,000) = £19,000 } <b>(1)</b></p> <p><u>Profits earned for Project 2 = cash inflow - depreciation charge</u></p> <p>Depreciation = (initial investment - residual value)/life of project</p> <p><b>Project 2</b><br/> = (£220,000 - £100,000)/5<br/> = £24,000 per annum <b>(2)</b></p> <p><b>Profit earned</b><br/> Year 1 (£150,000-£24,000) = £126,000<br/> Year 2 (£60,000-£24,000) = £36,000<br/> Year 3 (£40,000-£24,000) = £16,000<br/> Year 4 (£36,000-£24,000) = £12,000<br/> Year 5 (£32,000-£24,000) = £8,000 } <b>(1)</b></p> | 6        | If Depreciation is missing award 2 marks. |

| Question |                | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Max mark | Additional guidance |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
|----------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|---------------------------|--------|----------|----------|--------|----------|----------|--------|---------|----------|--------|---------|--|--------|---------|--|--|----------------|---------------------------|--------|----------|----------|--------|---------|----------|--------|---------|----------|--------|---------|--|--------|---------|--|----|--|
|          | (ii)           | <p><b><u>Accounting Rate of Return (ARR)</u></b></p> <p><b>Project 1</b><br/>Average profits <math>(87,000+59,000+37,000+26,750+19,000)/5 = £45,750</math> (1)<br/>ARR = <math>£45,750/£305,000 = 15\%</math> (1)</p> <p><b>Project 2</b><br/>Average profits <math>(126,000+36,000+16,000+12,000+8,000)/5 = £39,600</math> (1)<br/>ARR = <math>£39,600/£220,000 = 18\%</math> (1)</p> <p><b><u>Payback</u></b></p> <p><b>Project 1 – investment £305,000</b></p> <table><tr><td></td><td><b>Inflows</b></td><td><b>Cumulative inflows</b></td></tr><tr><td>Year 1</td><td>£132,000</td><td>£132,000</td></tr><tr><td>Year 2</td><td>£104,000</td><td>£236,000</td></tr><tr><td>Year 3</td><td>£82,000</td><td>£318,000</td></tr><tr><td>Year 4</td><td>£71,750</td><td></td></tr><tr><td>Year 5</td><td>£64,000</td><td></td></tr></table> <p><b>Payback in Year 3</b><br/><b>To nearest day:</b> 2 years plus <math>(£69,000(1)/£82,000</math> (1) *365 days)<br/>= 2 years 308 days (1)</p> <p><b>Project 2 - investment £220,000</b></p> <table><tr><td></td><td><b>Inflows</b></td><td><b>Cumulative inflows</b></td></tr><tr><td>Year 1</td><td>£150,000</td><td>£150,000</td></tr><tr><td>Year 2</td><td>£60,000</td><td>£210,000</td></tr><tr><td>Year 3</td><td>£40,000</td><td>£250,000</td></tr><tr><td>Year 4</td><td>£36,000</td><td></td></tr><tr><td>Year 5</td><td>£32,000</td><td></td></tr></table> <p><b>Payback in Year 3</b><br/><b>To nearest day:</b> 2 years plus <math>(£10,000(1)/£40,000</math> (1) *365 days)<br/>= 2 years 92 days (1)</p> |          | <b>Inflows</b>      | <b>Cumulative inflows</b> | Year 1 | £132,000 | £132,000 | Year 2 | £104,000 | £236,000 | Year 3 | £82,000 | £318,000 | Year 4 | £71,750 |  | Year 5 | £64,000 |  |  | <b>Inflows</b> | <b>Cumulative inflows</b> | Year 1 | £150,000 | £150,000 | Year 2 | £60,000 | £210,000 | Year 3 | £40,000 | £250,000 | Year 4 | £36,000 |  | Year 5 | £32,000 |  | 10 |  |
|          | <b>Inflows</b> | <b>Cumulative inflows</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 1   | £132,000       | £132,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 2   | £104,000       | £236,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 3   | £82,000        | £318,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 4   | £71,750        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 5   | £64,000        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
|          | <b>Inflows</b> | <b>Cumulative inflows</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 1   | £150,000       | £150,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 2   | £60,000        | £210,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 3   | £40,000        | £250,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 4   | £36,000        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |
| Year 5   | £32,000        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |                     |                           |        |          |          |        |          |          |        |         |          |        |         |  |        |         |  |  |                |                           |        |          |          |        |         |          |        |         |          |        |         |  |        |         |  |    |  |

| Question |     |       | Expected response(s)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Max mark | Additional guidance                                                             |
|----------|-----|-------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------------------------------------------------------------------|
|          |     | (iii) | Project 2 should be chosen because ARR is highest (1) or paid back more quickly (1).                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 1        |                                                                                 |
|          | (b) |       | <p>Advantages of Accounting Rate of Return</p> <ul style="list-style-type: none"> <li>• ARR is easy to understand and simple to calculate</li> <li>• ARR focuses on the overall profit generated by the project</li> <li>• It is similar to other accounting ratios used for making comparisons</li> </ul> <p>Disadvantages of Accounting Rate of Return</p> <ul style="list-style-type: none"> <li>• Timings of cash inflows are ignored</li> <li>• ARR ignores the time value of money</li> <li>• ARR only focuses on total profit over the life of the project</li> <li>• No benchmark/guidelines of what is an acceptable rate of return</li> <li>• Where time scales are different, the ARR is not suitable</li> <li>• ARR is not suitable for comparing projects with different investment amounts</li> <li>• Profit for year can be subject to different definitions</li> <li>• The benefits of high profits in the earlier years is ignored</li> </ul> | 3        | <p>2 marks maximum for advantages.</p> <p>1 mark maximum for disadvantages.</p> |

[END OF MARKING INSTRUCTIONS]